

BKT Tires Investability Report

This report contains a basic overview of the BKT Tires Ltd. It reviews key financial metrics of BKT, looks into its CSR, sustainability practices and employee wellbeing, shareholder structure and its vulnerability towards competition and global challenges. On these basis this analysis evaluates BKT's investment potential using a balanced approach that considers both financial performance and social responsibility factors.

About BKT:

Balkrishna Industries Limited ('the Company') is engaged in the business of manufacturing and selling of "Off-Highway Tyres" (OHT) in the specialist segments such as Agricultural, Industrial & Construction, Earthmovers & Port, Mining, Forestry, and All Terrain Vehicles (ATV).

Its main product lines include agricultural tires(tractor and implements tires), industrial(loader, excavator etc), OTR(Off the road i.e. tires for application in mining, quarries).

The company's major revenue comes from exports which is 73% of revenue in FY 2023-24. USA and Europe being the largest importer of the company.

Banking Partners:

Its Financial Intermediaries include:-

Standard Chartered Bank, Kotak Mahindra Bank Limited, Citi Bank, The Hongkong, Shanghai Banking Corporation Limited, ICICI Bank Limited, SUMITOMO MITSUI Banking Corporation

Key Suppliers :

Nocil LTD, Rajratan Global Wire LTD, GRP, Tiger Logistics, Triton Valve LTD are its key suppliers..

Corporate Governance and Social Responsibility

The company has 6 members in its board of directors and one key managerial employee which is the CFO. Mr. Arvind Poddar is the managing director and Mr. Madhusudan Bajaj is the CFO of the company.

The company has 2778 employees and 8362 workers as of 2023-24. Out of this 69 employees and 7481 workers are non-permanent. Only 1.4% of permanent employees and 0.3% of total workers are female. All of these females are on a contractual basis. Out of all the permanent employees and workers, 221 workers are part of the recognised union of the company.

Management Compensation:

The managing director and CFO's remuneration are INR 42.29 crores and INR 2.41 crores respectively. The managing director and the CFO are paid 672 and 38 times more than the median remuneration of employees respectively.

Ownership Structure:

The country's broad ownership profile is as such-

Promoter and Promoter Group - 58.29%

Public Shareholding - 41.71%

In Public shareholdings, small shareholders(<500 shares) constitute 1.91% of the equity holdings.

CSR Initiatives:

The company's total CSR expenditure is ₹34.07 crores which is 2.17% of its PAT.

Key Focus Areas:

1. Healthcare & Hunger Eradication (₹25.90 crores)

- Hospital expansion
 - Medical equipment provision
 - Mid-day meals for 28,000 children
2. Education & Skill Development (₹2.83 crores)
- Infrastructure support
 - Vocational training
 - Teacher development
3. Environmental Sustainability (₹0.015 crores)
- 24,937 trees planted
 - 16,079 tCO₂e emissions reduction
 - 99.15% waste diverted from disposal
4. Rural Development (₹5.32 crores)
- Infrastructure development
 - Employee housing near Bhuj

Credit Rating:

- Long Term Rating: CRISIL AA/Positive (Reaffirmed)
- Short Term Rating: CRISIL A1+ (Reaffirmed)

For 5000 Rated, Listed, Unsecured, Redeemable Non-Convertible Debentures of ₹500 crores

Operational Overview:

Raw Materials and Manufacturing Plants

The Company's primary raw materials include Natural rubber, Synthetic rubber, Carbon black, Nylon fabric.

Challenges and Threats:

Exchange rate fluctuations - Since most of the company's raw material and equipment machinery is imported, currency exchange rate fluctuations can prove fatal to operational costs of the company. However since the company's major revenue comes from exports, and it is a net foreign exchange earner therefore this acts as a natural hedge to the currency exchange rate disruptions for the time being.

Supply chain disruptions - like raw material supply shortage and compliance to environmental regulations, could also pose a threat. To deal with that, the company is diversifying its suppliers and incorporating sustainability criteria in supplier selection.

In summary, its Risk Mitigation Strategies are-

- Supplier diversification
- Integration of sustainability criteria in supplier selection
- Natural hedging through export revenues against currency fluctuations

Capital Structure:

No fresh equity raised in last 4-5 years (equity share capital constant at ₹38.66 crores)

There has been a recent capital raising in the form of Debt through External Commercial Borrowing of EUR 60 million from SMBC Singapore. Capital Expenditure: ₹1,592.81 crores in property, plant, and equipment additions.

Financial Analysis: BKT vs Apollo:

Though Apollo is not a direct competitor to BKT since BKT just operates in the specialist tire segment of 'Off the Road' tires while Apollo caters to the more mass produced category of cars and truck tires, though it also produces 'Off the Road' tires. Nevertheless Apollo is closer to BKT than any other listed brand in terms of

revenue which also offers Specialist segment tires(Apollo being 1.7x bigger than BKT).

Revenue and Profitability Trends:

BKT's financial performance shows total revenue grew from ₹5,919.37 crores (FY21) to ₹9,746.44 crores (FY24), a 64% increase. Operating Revenue increased from ₹5,757.92 crores (FY21) to ₹9,298.70 crores (FY24), a 61% increase.

BKT consistently shows stronger profitability metrics than Apollo. BKT's EBITDA margin ranged from 17.49% to 31.01%, while Apollo's ranged from 9.79% to 17.67%. BKT's PAT margin has been significantly higher, ranging from 10.63% to 19.52%, compared to Apollo's 1.78% to 6.58%.

Operational Efficiency Trends:

Apollo shows better inventory management with a higher average inventory turnover ratio of 4.01 during the period of 2021-2024 than BKT at 3.57. Apollo has better receivables management with higher receivables turnover ratio at 15 while BKT's stands at 4.48.

This could be due to relaxed credit terms of BKT to retailers. Also since BKT operates in specialist segment therefore its tires might not sell in same velocity as mass tires and therefore company might itself not choose to ask their retailers to clear their dues in short periods of time and receive a small sale revenue rather than in a larger period of time and receive larger sale revenue.

Both the companies improved their assets turnover ratio during FY 2021-24. BKT outperforms Apollo with the ratio being 0.98(BKT) in FY2024 versus 0.87 of Apollo, indicating better asset utilisation.

Liquidity Position:

BKT maintains better liquidity positions across all metrics. BKT's current ratio stayed above 1.20 throughout, while Apollo's fell below 1.0 in 2022-2023. Both companies show improvement in quick ratio by 2024 (BKT: 0.93, Apollo: 0.62). Cash ratios are relatively low for both companies, though it should not be a cause for

concern since these are established brands and chances of them arriving at a position of fulfilling their obligations with just cash are low. Cash ratio is more relevant for businesses with large CCC and startups where chances of failing to meet their short and long term obligations are high.

Returns and Efficiency:

BKT Tires	2021	2022	2023	2024
Return on Equity (ROE)	19.23	20.37	14.21	16.22
Return On Capital Employed (ROCE)	24.26	25.18	15.58	17.86
Apollo Tires				
Return on Equity (ROE)	7.63	2.74	5.25	11.05
Return On Capital Employed (ROCE)	23.06	9.54	14.20	15.43

BKT demonstrates higher returns relative to equity and capital employed than Apollo. There can be seen a slump in ROE from 2023 and 2024, this is attributed to significantly higher financial cost/interest expense on debt taken in 2023 in addition to increase(9.6%) in freight and forwarding charges[^]. This reduced profitability led to reduced ROE. Similarly the capex financed by debt is yet to mature to give increased earnings, therefore a decrease in ROCE. Nevertheless BKT commands significantly higher returns than Apollo.

Financial Health and Leverage:

Both the companies average a similar debt to equity ratio of around 0.4. This is good for both of them since they are capital intensive manufacturers and therefore to be able to expand without taking too much debt relative to equity considering they are multinational companies which exposes them to exchange rate fluctuations when it comes to debt repayment.

Also 0.4 might mean they are not opting for aggressive growth strategy therefore maintaining conservative leverage position, which helps them to weather global downturns better.

^ For every rupee of revenue earned BKT spent 0.114 rupees in 2023 versus 0.104 rupees in 2022, a 9.6% increment. [Source: Notes of Other Expenses in Annual Report]

Investment Verdict:

BKT shows stronger overall financial performance, particularly in profitability and returns.

Apollo demonstrates better working capital management in terms of receivables, however BKT has better asset utilisation. It maintains better liquidity and leverage. In terms of equity BKT shows far better performance than Apollo.

It fares good on social responsibility factors too. It spends more than required CSR spending(2.4% of PAT) significantly higher than Apollo(1.3% of PAT) for FY 2024. As part of CSR it has strong environmental initiatives and community development programs.

It pays more than the government required minimum wage to its workers and the company provides various opportunities to its employees for career development.

100% of its workers are on accidental insurance, though only 70% are on health insurance. The company has received zero complaints from employees and workers on health, working conditions and harassment.

The company has invested in R&D to reduce the carbon footprint of its production process and its products. It will introduce sustainability criteria in its supplier choosing criteria to diminish its harmful environmental impact.

Overall the company fares well on financial and social responsibility factors and therefore has been rated as a good investable company.

Reflections

The assignment introduced me to the world of financial statements. I was shocked to see the width and depth of information contained in the annual report of a company. One could know and understand the various facets and dimensions of the company, its health and wealth, its past and future nearly as good as the key stakeholders of the company if a proper reading and analysis is done of the annual report.

It was fun to calculate various ratios of the company and try to reason the levels as they were and the changes that came about in them in the context of the company. For example BKT's profit margin dipped in 2023 and 2024, besides the obvious interest expense cost digging had to be done to see what else caused this if any. It was in the notes of 'Other Expenses' in the list of various heads did I find some significant changes in freight costs.

